

partial retrace to 15, say 16. If it closes below 15, then sell. Upside is unknown. It might hesitate at 22, the site of a prior peak in late 2000. That's my goal."

Less than a week later, I made another notebook entry: "27 January 2004. I bought at market, filled at 16.82. I believe this is an easy profit winner because of the market excitement. People are buying stock, and this broker will make money hand-over-fist, so I doubled my position. Upside is the old high at about 22. The stock will cup-with-handle there. Expect a pullback in the handle, then a resumption of the uptrend if price climbs above the right cup lip."

Both of these trades were near the yearly high, before the symmetrical triangle appeared.

Two months later, the party was over. Here's my notebook: "11 February 2004. I sold my holdings at market, filled at 14.73 to 14.75. This has broken down out of a symmetrical triangle and looks to be headed lower. This is one of those 'can't lose' trades that I firmly believed would be a winner because of the strong fundamentals.

"Often, I have found that they turn into a disaster. The good news is that I got out. I waited for price to climb off the daily low of 14.33. It recovered to 14.88 but dropped to 14.73 before I could get out."

I've noticed in my trading that the more confident I am of making a profit, the worse I'll get hammered. When the trade begins to go bad, I'll be in denial, that I *know* the stock will recover. And each day, price drops. Soon, you've lost so much money that you stop following the stock because you don't want to wade through all of the blood.

More recently, I don't let my trading bother me at all. Losses are the cost of doing business. If I stick to my trading plan, then I'm happy, until I get whipped out of a position that sees the stock double in price. Yes, that bothers me. Or worse, the stock doubles but you hope for more, and then it drops in half, not overnight, but as a slow drip, drip, drip that you don't notice until your downstairs furniture is floating.

In this trade, things didn't get nearly that bad. I sold after the downward breakout from the triangle, so I limited the losses. On the two trades, I lost 13% and 14%, which is significantly higher than the 8% or less I like to see.